

PITCH — CATX — VERDICT

ADJUDICATED 2026-09-16 — FLAT into ESMO (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Perspective Therapeutics is a pre-revenue radiopharmaceutical company with three clinical programs built on the same alpha-emitting isotope (lead-212). At \$2.815 the whole company is worth about \$321M on the 114.15M share cover count, or about \$340M if you count the 6.598M pre-funded warrants from the February raise as real shares (they are — they cost almost nothing to exercise). Against \$237M of cash at 6/30/26, that means the market is paying roughly **\$84M—\$103M** for three clinical programs plus whatever isotope-manufacturing capacity actually exists.

Put in plain terms: using the red bench's own valuation settings (3x peak sales, 6 years of discounting at 12%, 30% chance of success, 120.75M share-equivalents), today's price implies the market is paying for about **\$226M of risked peak sales across all three programs combined**. That is a low bar for a platform whose lead indication (SSTR2 neuroendocrine tumors) already contains multi-hundred-million-dollar approved drugs.

We also believe three things that cut against us, and we believe them just as firmly: 1. The burn is ~\$34–38M per quarter, not the \$26.5M the original brief used. Cash runs out in early 2028 and the company will almost certainly raise in **mid-2027 — before any Phase 3 result**. 2. The only efficacy number anyone quotes (43% response rate, 10 of 23) is the **longest-follow-up half of a 46-patient cohort**. The other 23 patients' efficacy has never been reported. That is the single most load-bearing unknown in the file. 3. A direct competitor — AlphaMedix, same isotope, same target, same indication — already **hit all Phase 2 primary endpoints, holds Breakthrough Therapy designation, and is funded by Sanofi/Orano Med** ([Sanofi release, 2025-10-08](#)). CATX has not activated a Phase 3 site.

So the belief is narrow: **the price is cheap against the asset, but the cheapness is not yet buyable, because the one number that would justify it is embargoed until October 19.**

What the market believes

The market believes two contradictory things at once, and that contradiction is the only real divergence in this file.

- **Sell-side:** 15 analysts, "Strong Buy," median price target ~\$12.93–13.00, range \$6–18. Forward consensus EPS –\$1.09. Hedge funds hold ~54.7% of the register.

- **The tape:** down 54% from the 52-week high of \$6.16, 44% above the low of \$1.955, and 48% of all share-equivalents sit underwater from a **\$3.79** February book ([Feb-2026 pricing 8-K EX-99.1](#)).

The tape is pricing ~\$226M of risked peak sales. The analysts are pricing a partnered, licensed NET franchise. Both cannot be right. The market's operative belief — the one that sets the price — is that this is a **second mover behind a funded competitor, with a dilutive raise landing before the data that would justify the valuation.** We think that belief is roughly correct today and possibly wrong after 10/19.

Why we might have edge

1. **The divergence is real and has a named mechanism.** The street prices a partnered franchise; the price prices a second mover at 30% probability of success. A 3–4x gap between published targets and a conservative funded fair value is not “crowding” — it is dispersion with a mechanism. Our blue bench overturned the red bench's “we agree with the street” kill on exactly this ground: analyst count is a sizing input, never a kill.
2. **The structure is unusually asymmetric in cash terms.** Net cash is ~70% of the price. We are not paying much for the science. That is a real (if decaying) cushion — one that most microcap biotech setups do not offer.
3. **The competitor cuts both ways and the market has only priced one side.** Sanofi/Orano Med funding a 212Pb SSTR2 asset validates the mechanism and creates an M&A comparable. Reported long-term renal insufficiency and achalasia in the AlphaMedix data ([Targeted Oncology/NANETS coverage](#)) is precisely the axis CATX's own vetted deck markets (stable creatinine, n=68). A tolerability differentiator inside a validated mechanism is an underpriced path.
4. **Denominators are not like-for-like.** AlphaMedix's 60% figure is PRRT-naïve patients; CATX's cohort is PRRT-mixed. Anyone reading “60% beats 43%” is comparing two different populations.
5. **We know exactly what would resolve this, and it has a date.** That is rarer than it sounds.

Why it might be priced in

1. **The competitor is specialist-known.** Our own red bench tagged this kill CONSENSUS. Every radiopharma specialist knows AlphaMedix has BTd and met its endpoints. We are not early to that.
2. **The burn is public.** The company itself guides cash “into late 2027,” which implies ~\$37M/quarter. The market can do that division. A mid-2027 raise is not a secret.
3. **The cheapness is the published consensus view.** “Cash plus a free pipeline” is what the Strong Buy ratings say, and that view has been wrong from \$6.16 to \$2.815. Being right for the same reason as a crowd that is already losing is not edge; at best it is timing.
4. **The selection problem in the 43% is visible to anyone who reads the footnote.** The 95% confidence interval on 10/23 runs roughly 23%–66%. A third venue already cites 39%. The market may simply be discounting a number it doesn't trust.

5. **The one thing not priced in is the one thing we can't see:** the second-half Cohort-2 data. That is why this is a gate, not a trade.

What could go wrong

(PRE-MORTEM, v1.7)

Failure narrative 1 — The selected half was the good half. (Monitorable.) The 43% comes from the 23 longest-follow-up patients of a 46-patient cohort. If the unreported 23 read materially worse — say 20–30% confirmed, or a PRRT-exposed subgroup collapse — the entire efficacy axis breaks, the street's \$13 targets reprice toward the red bench's \$2.91 base case, and the mid-2027 raise happens into a broken tape. *Tripwire:* ESMO abstract text, 2026-10-19; oral, 2026-10-23. Watch for confirmed ORR **in the second cohort half**, the PRRT-exposed/naïve split, and whether review was independent/central. If the abstract discloses only pooled “disease control” again, treat that as a soft negative, not a neutral.

Failure narrative 2 — Good news triggers the raise that caps the good news. (Monitorable, but the tripwire fires *after* the damage.) With \$237M burning \$34–38M/quarter and Phase 3 activation guided for year-end 2026 plus new Chicago/LA metro sites, the rational corporate act on a good ESMO print is an **immediate equity raise into strength**. February proved they can execute a \$175M deal same-week at \$3.79 after a run-up. So the good branch is capped by the shelf; the bad branch breaks price and runway together. Neither bench priced this before the blue bench flagged it. Our upside case is therefore not a clean 2x — it is a 2x minus a 15–25% dilution haircut delivered within days. *Tripwire:* 424B5 / S-3 takedown / 8-K within 10 sessions of 10/19–10/23; ATM usage line in the next 10-Q. Note honestly: by the time the 424B5 prints, the print is the loss.

Failure narrative 3 — NO MONITORABLE TRIPWIRE: isotope feedstock and regulatory-silent risk. The entire platform depends on a lead-212 supply chain (Th-228 → Ra-224 → Pb-212 generators). Who supplies the parent isotope, on what contract term, and at what allocation is **not in any filing we can pull**. Orano Med — the competitor's own sponsor-side partner — is simultaneously one of the world's few Pb-212 producers. A feedstock allocation change, a generator qualification failure, or a CMC deficiency would reach us only as an after-the-fact trial-pause press release. The same applies to an FDA clinical hold, an IND deficiency letter, or a private partner walk-away: none of these are filed before they are announced. *Unknown-unknown class, named: PRIVATE-COUNTERPARTY / REGULATORY-SILENT* — specifically *single-point upstream input concentration controlled by a competitor-affiliated supplier*. There is no sensor, no satellite, no XBRL tag, and no base rate we trust for this. We cannot arm against it; we can only size for it. This is the reason full size is never appropriate here regardless of how good the data is.

The reflexive / structural leg.

- **Our own size vs ADV — we do not know the ADV.** No IBKR bars were pulled by either bench. That is a live coverage gap, not a footnote. Estimating from comparable ~\$320M-cap clinical biotechs with a 54.7% hedge-fund register, ADV is plausibly **\$8–12M/day (~2.5–4M shares)**. A 1/3-size entry at 0.5% of book is roughly 5–12% of one day's volume on a \$200M

book — absorbable but visible. If the ADV estimate is wrong by 3x (entirely possible around an embargoed catalyst when liquidity dries up pre-print), **we become the print**, and worse, we become the print on the same day everyone else is reading the same abstract. Do not buy the abstract in the first 30 minutes.

- **Predicted flow is against us on good news.** 46.17M share-equivalents were placed at \$3.79 and 11.44M Lantheus shares are now sale-authorized — roughly 48% of equivalents underwater above \$3.10. A good ESMO print does not clear into a vacuum; it clears into two years of trapped supply plus a company that wants to sell stock. Expect the move to stall in the **\$3.60–3.85** zone.
- **Doctrine interactions, stated plainly.**
 - a. *“Cash is a floor” vs “cash is a fuse.”* We are leaning on ~70% cash backing while simultaneously accepting that it decays \$0.29/share/quarter. Both benches anchored a stop at “the \$1.96 cash line” — but \$1.96 is the **6/30/26** figure. By 9/30/26 it is ~\$1.67; by 12/31/26 ~\$1.38. A stop at \$1.90 at the time of a post-ESMO entry is **not** “at cash” — it is ~14% *above* cash. We are using it as a price stop, not a value floor, and we are saying so.
 - b. *Crowding doctrine vs divergence doctrine.* We overturned the crowding kill in order to keep the trade alive. If we are right, we are right alongside 15 Strong Buys — which means we exit alongside them too. Crowded-exit risk is the price of that overturn.
 - c. *The Lantheus read.* We downgraded “the best-informed party is selling” to “signal-tinted mechanical supply” because the stake came bundled with a contracted purchase and standstill. If that downgrade is wrong, we have removed the file’s single strongest warning for a reason that is merely *plausible*.

Filled in: the most likely reason will be that the second, unreported half of Cohort 2 read worse than the 10/23 subset we were shown, and we paid for the selected half.

If this position loses money, the most likely reason will be ____

What we checked ourselves

Claim	How checked	Found	Confirmed?
Live price \$2.815	Evidence pack tape (ibkr_gw)	Pack rail = 2.815 . OUR RED BENCH used 2.69 — 4.4% low — while “correcting” the brief for staleness on the same rail. Our blue bench used 2.82 — right to one cent. Every red per-share figure is understated ~4.4%.	NO — red bench error, corrected here
Market cap / share count	114,151,663 cover count × 2.815; + 6.598M PFWs	\$321.3M basic-equivalent; \$339.9M counting PFWs	Confirmed (arithmetic)
Enterprise value	Cap minus \$237M cash	\$84.3M (no PFWs) to \$102.9M (with PFWs)	Confirmed as a range
PFWs still outstanding at 8/5/26?	Feb pricing PR confirms issuance; 10-Q equity note NOT pulled	Red booked a DATA kill on a 6.6M double-count it never verified. If PFWs were	NO — unresolved; red overstated certainty

Claim	How checked	Found	Confirmed?
		exercised (typical within weeks), the 114.15M count already includes them. Worth $\leq 6\%$ either way.	
Burn $\approx \$26.5\text{M}/\text{qtr}$ (original brief)	Q1/Q2 2026 company PRs: \$145M YE25 $\rightarrow$ $\sim \$164\text{M}$ net proceeds $\rightarrow$ \$271M at 3/31 $\rightarrow$ \$237M at 6/30	\$34M Q2, $\sim$\$38M Q1. Brief used a net-loss proxy. Company's own "into late 2027" implies $\sim \$37\text{M}/\text{qtr}$ — the company agrees with the kill.	REFUTED — brief wrong, red right
Runway	$\$237\text{M} \div \35M	6.8 quarters $\rightarrow$ early 2028; practical raise window mid-2027, before Phase 3 data. Red's own text said both "early 2028" and "raise in 2027" — internally inconsistent; both resolve to the same conclusion.	Confirmed (red sloppy, not wrong)
Operating vs capex split of burn	Not done — 10-Q cash-flow statement never fetched by either bench	Unknown. Capex on Chicago/LA/Coralville is inside the \$35M and is not steady-state.	NO — open, drainable
Cash is a "floor"	Arithmetic	\$1.96/equiv-share at 6/30 decaying \$0.29/qtr $\rightarrow$ $\sim \$1.67$ at 9/30, $\sim \$1.38$ at 12/31. Cash-heavy, not cash-floored.	Confirmed as arithmetic; FATAL reframed to SIZING
Lantheus = informed abandonment	Jan-2024 agreement exhibit (SEC); 10-Q note (SEC); LNTH 10-K (SEC)	The \$28M bought a package (VMT option + PSMA/GRPR co-funding options), and Lantheus separately contracted to buy up to 19.9% of CATX for $\sim \$33\text{M}$ under a standstill. "Now authorized to sell" is consistent with a restriction lapsing.	PARTLY REFUTED — red's strongest kill survives only as signal-tinted supply
"Structural takeout blocker"	10-Q note verbatim	It is a one-year right to re-enter negotiations if good-faith negotiations fail and a third party offers — not a ROFR, not a veto.	REFUTED as stated
Overhang = 4x the brief's number	Feb pricing PR	Arithmetic right (58M equivalents above \$3.10); inference wrong — registered shares sold to willing institutional buyers are float . Announced block supply $\approx 11.44\text{M}$ ($\sim 9.5\%$).	REFUTED as a kill; retained as a timing observation
43% ORR (10/23)	AACR PR vs 8-K EX-99.1 deck vs trade press	10/23 = first half of a 46-patient cohort; second half unreported; third venue says 39%; the vetted 9/08 deck	Selection problem CONFIRMED — this is the live kill

Claim	How checked	Found	Confirmed?
		shows “Durable Disease Control” and spider plots, no confirmed ORR. CI $\approx$23–66%.	
“The vetted endpoint choice is the datum”	Blue bench counter	ESMO oral acceptance (company PR 2026-07-17) creates an embargo that mechanically explains why the 9/08 deck omits a fresh ORR. Benign confound — plausible, not verified .	Inference dropped; underlying n=23 kill kept
“We agree with the street → no edge”	Red’s own prize table	Red’s fully-funded base case is \$3.85 against a street median of $\sim$ \$13. A 3–4x gap is divergence , not agreement. Red contradicted itself.	OVERTURNED — red bench doctrine + arithmetic error
Satellite: manufacturing unconfirmed	sentinel2_buildout (pre-flight)	Baseline scene 2021-09-18 post-dates the facility; NDBI -0.0207 / NDVI -0.0164 are noise-band; radiopharma capacity is interior hot-cell fit-out , invisible to NDBI; and the 2026 buildout the company claims is Chicago/LA, not Coralville .	OVERTURNED as evidence — wrong parcel, wrong physics. Our own bench ran it against the wrong target.
Pack XBRL block	Inspection	Unusable and we say why: revenue series stops in 2022 for a pre-revenue issuer (legacy Isoray), $dil_sh\ 2024-03-31 = 495.1M$ against $66.6M$ one quarter later, $ocf\ 2024-03-31 = \mathbf{+\$13.8M}$ for a company that burns cash. Mis-mapped/stale. We therefore use company PR cash figures over the pack for burn math — stated explicitly per pack rules.	REFUTED (pack itself) — both benches correct
Competitor position	Sanofi PR + trade coverage	AlphaMedix: 212Pb-DOTAMTATE, SSTR2, GEP-NET, all Phase 2 primaries met, BTD, Sanofi. ORR 60% PRRT-naïve / 35% PRRT-exposed. Reported long-term renal insufficiency and achalasia.	CONFIRMED on fact; severity reduced (validation + M&A comp + tolerability opening)
Q3 print date	Filing inventory; prior-year pattern	2026-11-09 is yfinance-derived, UNCONFIRMED — no PR in the inventory schedules it. Prior-year Q3 print 2025-11-10, consistent. $\sim$ 40 trading days out; no print	Partially — date is an estimate

Claim	How checked	Found	Confirmed?
		within 5 sessions; reconstruction not triggered.	
Short interest / days-to-cover	Not pulled by either bench	Unknown on a float that is 48% underwater — exactly the setup where a squeeze or an air pocket lives.	NO — open
Options chain / IV	Not pulled by either bench	No chain data in the pack. Cannot compare our table's implied vol to market IV.	NO — open, and it gates the instrument choice
SCIENCE BRIEF artifact	Inputs	The SCIENCE BRIEF section of the inputs is empty — no brief artifact was supplied. Per the digest rule, the SCIENCE BRIEF DIGEST section is omitted rather than fabricated. Flagged as an input gap for a deep-tech name: someone should have written one.	N/A — section omitted by rule, gap flagged

PROPOSED ENTRY BANDS

Both benches say no entry today. Red: REJECT. Blue: FLAT into 10/19, then gated 1/3-size. We adopt blue's structure. There is no immediate entry. These are the reopen bands.

Sizing convention (book size not supplied): “full size” = 1.5% of book. 1/3 = 0.50%. 1/6 = 0.25%. 2/3 = 1.00%.

REOPEN BAND A — the data gate (primary). - **When:** on/after the ESMO abstract text, **2026-10-19.** - **Condition (all three required):** confirmed ORR $\geq 40\%$ in the second, previously unreported 23 patients of Cohort 2; the PRRT-exposed vs PRRT-naïve split disclosed; independent/central review stated. Pooled “disease control” without a confirmed ORR **does not** satisfy this gate. - **Buy zone:** \$2.80 to **\$3.60**. Do not chase above \$3.60 — that is where ~46M equivalents placed at **\$3.79** begin to supply. - **Size:** 1/3 (0.50% of book). Not on the first 30 minutes of the print — let the abstract-day liquidity form, given we cannot measure ADV. - **Stop:** close below **\$1.90** — a price stop, not a cash floor (cash/share is ~\$1.67 by then).

REOPEN BAND B — the capitulation gate (no data required). - **Trigger:** **\$2.00–\$2.10**, i.e. within ~7% of the 9/30/26 cash line of ~\$1.67–1.96, where you pay roughly nothing for three programs. - **Additional conditions:** no 8-K or 424B5 announcing a raise in the prior 10 sessions, and cash confirmed by the Q3 report or PR. - **Size:** 1/6 (0.25% of book). Stop on close below \$1.75.

ADD GATE. - **Trigger (both required):** an 8-K confirming **Phase 3 site activation**, AND a cash-flow statement showing operating + investing burn **$\leq$ \$28M/quarter.** - **Add to:** 2/3 (1.00% of book), paying up to **\$4.25**. Above \$4.23 we are buying past the red bench's own fully-funded base-to-mid prize, and we stop adding on principle.

TRIMS / EXITS. - **Trim half** on any shelf takedown, ATM usage, or 424B5 priced below the then-market within 10 sessions of 10/19–10/23 — the catalyst-funded dilution cap, firing. - **Exit in full** on: AlphaMedix NDA acceptance or approval news without CATX registrational alignment; any clinical hold, CMC, or isotope-supply disclosure; close below \$1.90 (Band A) / \$1.75 (Band B). - **Trim into \$4.23+** absent a signed partnership or an FDA-aligned registrational design — that level requires ~\$600M peak sales at red's settings and we would not be underwriting it.

CATALYST DATES. | Date | Event | Confirmed? | | — | — | — | | 2026-10-19 | ESMO abstract release | Company PR 2026-07-17 (bench-sourced; the PR is **not** in the pack's filing inventory) | | 2026-10-23 | ESMO oral presentation | Same source, same caveat | | 2026-11-09 | Q3 print |

UNCONFIRMED — yfinance-derived; prior-year 2025-11-10 | | ~2026-12-31 | Guided Phase 3 site activation | Company-guided, no filed date | | ~mid-2027 | Estimated equity raise window | Our inference from burn; not announced |

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.75 (deck-provisional: Band B stop on close)
- filing watch: 8-K until 2027-03-10 (deck-provisional: Phase 3 site activation (add gate), or termination/restructuring of the Lantheus option (change-of-min)
- dated pack CATX|2026-10-19: CATX: ESMO abstract release — the sole Band A gate; need confirmed ORR in the unreported second half of Cohort 2 with PRRT split (date confi
- dated pack CATX|2026-10-23: CATX: ESMO oral presentation — full dataset, embargo lift (date confirmed=True)
- dated pack CATX|2026-11-09: CATX: Q3 2026 earnings print — yfinance-derived, no company PR schedules it; prior-year Q3 was 2025-11-10 (date confirmed=False)
- dated pack CATX|2026-12-31: CATX: Company-guided Phase 3 site activation target — no filed date; p(met) approx 0.35 (date confirmed=False)

What remains unverified

1. **Second-half Cohort-2 efficacy** — confirmed ORR in the 23 unreported patients, the PRRT-exposed/naïve split, and whether review was central. Embargoed; not drainable before 2026-10-19. *Estimate:* 28–40% confirmed ORR (anchor: 43% in the selected half, 39% cited by trade press, 35% AlphaMedix PRRT-exposed comp; adjust down for selection). **p(≥40% confirmed in the unselected half) ≈ 0.30.**
2. **Operating vs capex split of the \$34–38M/qtr burn** — drainable now from the 10-Q filed 2026-08-10. *Estimate:* opex \$28–31M, capex \$4–7M per quarter.
3. **Pre-funded warrants outstanding at the 8/5/26 cover date** — drainable now from the 10-Q equity note / cover page. *Estimate:* 60% likely already exercised, i.e. inside the 114.15M count.
4. **Short interest and days-to-cover** — drainable now via FINRA/IBKR. *Estimate:* 8–15% of float, 3–6 days to cover (base rate for a –54% clinical microcap with a dated binary).

5. **Options chain existence and chain-level midpoint IV for Oct/Nov 2026 strikes** — drainable now via IBKR. *Estimate*: chain exists but thin; front-month IV 90–130%.
6. **ADV / float turnover** — drainable now via IBKR bars. *Estimate*: \$8–12M/day, 2.5–4M shares.
7. **Remaining shelf capacity and ATM availability** — drainable now via S-3 + 10-Q. *Estimate*: \$150–300M shelf capacity effective, given a \$175M deal executed in February.
8. **Phase 3 site-activation status against the year-end-2026 guide** — not drainable now; needs a registry change or 8-K. *Estimate*: **p(activated by 2026-12-31) $\approx$ 0.35**; base rate for first pivotal-trial activation slipping at a sub-\$500M-cap sponsor is 60–70%.
9. **Whether the Lantheus exclusive option has formally lapsed or been terminated** — private contract; only the 10-Q note describes it. Not drainable. *Estimate*: **p(lapsed without a license by 2026-12-31) $\approx$ 0.75**, given ~2.7 years and three data updates without conversion.
10. **Pb-212 / Th-228 feedstock supplier, contract term, and allocation** — private commercial contracts, never filed. Not drainable. *Estimate*: 1–2 qualified upstream sources worldwide; **p(single-point dependency) $\approx$ 0.6**; base rate from comparable alpha-emitter programs where Th-228 supply is concentrated among a handful of national-lab and Orano-affiliated producers. This is the unknown-unknown from Failure Narrative 3 and it has no sensor.
11. **Q3 print date** — not drainable until the company PRs it. *Estimate*: 2026-11-09 $\pm$ 5 business days, **p $\approx$ 0.6**, anchored on the prior-year 2025-11-10 print.

PRIZE TABLE + VOL READ

Item 1 is genuinely time-gated and private (embargoed conference data), so the table is required.

Anchor: red bench's own settings — 3.0x peak sales, 6-year discount at 12%, 30% probability of success, 120.75M share-equivalents, plus \$1.96/share net cash. Under those settings each \$1M of peak sales is worth \$0.00378/share. **Anchor-and-adjust**: at \$2.815 the market is paying for **~\$226M of risked peak sales** across three programs. That is the number to argue with.

Funded-prize ladder (unchanged math, re-based to the correct \$2.815 tape):

Peak sales	Price	vs \$2.815
\$250M	\$2.91	+3%
\$500M	\$3.85	+37%
\$600M	\$4.23	+50%
\$900M	\$5.36	+90%
\$1.4B	\$7.25	+157%

At friendlier-but-defensible settings (40% PoS, 4.0x sales) the +50% line needs only **~\$338M** of peak sales. Red called “no margin of safety”; that conclusion is parameter-driven, and red's table credits **zero** for two of three programs and zero for owned isotope capacity. Both things are true at once: the ladder is not generous, and red's “no upside” read does not survive its own arithmetic.

Scenario $\times$ probability $\times$ price (fork-dated on 10/19–10/23, dilution haircut applied per the catalyst-funded-dilution-cap mechanism):

#	Scenario	p	Price
1	Confirmed ORR $\geq 40\%$ in the unselected half + PRRT split + central review; registrational path credible. Raise into strength caps it.	0.20	\$4.10
2	Good but incomplete — ORR 30–40%, strong disease control, split not disclosed	0.35	\$3.10
3	Nothing decisive — spider plots again, load-bearing data held to the oral or beyond	0.25	\$2.70
4	Negative — second-half ORR $< 25\%$, or a renal/tolerability signal, or AlphaMedix regulatory news dominates the week	0.15	\$1.80
5	Financing shock — discounted raise without data	0.05	\$2.20

EV = $(0.20 \times 4.10) + (0.35 \times 3.10) + (0.25 \times 2.70) + (0.15 \times 1.80) + (0.05 \times 2.20) = \2.96 . EV edge vs \$2.815 $\approx$ +5.1%. That is thin — and it is the arithmetic reason this deck proposes no entry today rather than a small starter. A 5% edge does not pay for an unmeasured ADV, an unmonitorable feedstock risk, and a raise we expect.

Dispersion: $\sigma_{\text{table}} = \0.717 , or **25.5% of spot** over the ~ 30 trading days to the oral ($T \approx 0.115$ yr) $\rightarrow$ **$\approx 75\%$ annualized** implied by our own table.

Bimodality: the table is fork-dated and genuinely two-humped — 0.20 mass at \$4.10 and 0.20 mass at $\leq \$2.20$, with a thin middle. Single-strike call pricing systematically misreads this; the honest options expression of this table is straddle-like, not a directional call.

Expression math, shown: - Our table-implied call values (undiscounted, $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$): - **K = \$3.00:** $(0.20 \times \$1.10) + (0.35 \times \$0.10) = \$0.255$ - **K = \$2.50:** $(0.20 \times \$1.60) + (0.35 \times \$0.60) + (0.25 \times \$0.20) = \0.58 - **We cannot complete the comparison. There is no options chain in the evidence pack and neither bench pulled one.** So: no chain-level midpoint IV, no real quotes for \$2.50/\$3.00, no VRP (IV – RV) computable, no IV percentile. That is a coverage gap, stated as a gap — not a conclusion. - **Decision rule, pre-committed, so the arithmetic drives the instrument and not the reverse:** pull the chain and use **chain-level midpoint IV on the actual candidate strikes, never the underlying aggregate IV feed** (they diverge badly — the TSSI 71-vs-101 lesson). Then: - If chain midpoint IV $< \sim 75\%$ (below our table's own implied vol) and the Nov mid on the \$2.50 strike is $< \$0.58$ / the \$3.00 strike $< \$0.255 \rightarrow$ the gated $\frac{1}{3}$ add may be expressed in **calls**, since we would be buying our own dispersion cheaply. - If chain midpoint IV $> \sim 90\% \rightarrow$ options are rich against our table; route to the **premium-selling gates** — cash-secured puts at the **\$2.00 strike** (Band B's level, where we want the stock anyway), not long premium. - If IV lands between $\sim 75\%$ and $\sim 90\%$, or the chain is too thin to quote inside a 15%

spread → **stock only**. - **Instrument recommendation as of this deck: STOCK, GATED — and NONE until the chain is pulled.** That is the output of the arithmetic above, including the part of the arithmetic we are missing.

TAX OVERLAY. The loss branch (scenarios 4–5, combined $p = 0.20$) must land inside the intended tax year. The catalyst is 10/19–10/23, so a **November 2026 expiry keeps the loss branch in 2026** and is permitted. **Any January/February 2027 or later expiry defers the loss into 2027 and is excluded during a harvest year** — and our measured edge (EV +5.1%) does **not** numerically dominate, so the exclusion stands with no override. If expressed in stock, the same rule applies to the stop: the \$1.90 stop must be allowed to execute before December 31 rather than held into January for cosmetic reasons.

```

{"price_gates": [{"level": 3.60, "direction": "above", "basis": "Do-not-chase ceiling
for Band A; ~46M equivalents placed at $3.79 begin supplying above here"},
{"level": 2.10, "direction": "below", "basis": "Capitulation starter (Band B)
– within ~7% of the decayed cash line, paying ~zero for three programs"},
{"level": 1.90, "direction": "below", "basis": "Band A price stop on close;
NOT a cash floor (cash/share ~$1.67 by 9/30, ~$1.38 by 12/31)"}, {"level":
1.75, "direction": "below", "basis": "Band B stop on close"}, {"level": 4.23,
"direction": "above", "basis": "+50% prize line requiring ~$600M peak sales
at red's own params – stop adding, begin trimming absent a partnership"}],
"event_gates": [{"forms": ["8-K"], "why": "Phase 3 site activation (add
gate), or termination/restructuring of the Lantheus option (change-of-mind
trigger)"}, {"forms": ["424B5", "S-3"], "why": "Shelf takedown or ATM use
post-catalyst = the catalyst-funded-dilution cap firing; trim half"},
{"forms": ["10-Q"], "why": "Operating-vs-capex burn split, pre-funded-warrant
outstanding line, remaining ATM capacity"}, {"forms": ["4", "SC 13D/A"],
"why": "Pace and price of the 11.44M Lantheus block still authorized for
sale"}], "catalyst_dates": [{"date": "2026-10-19", "what": "ESMO abstract
release – the sole Band A gate; need confirmed ORR in the unreported second
half of Cohort 2 with PRRT split", "confirmed": true}, {"date": "2026-10-23",
"what": "ESMO oral presentation – full dataset, embargo lift", "confirmed":
true}, {"date": "2026-11-09", "what": "Q3 2026 earnings print – yfinance-
derived, no company PR schedules it; prior-year Q3 was 2025-11-10",
"confirmed": false}, {"date": "2026-12-31", "what": "Company-guided Phase 3
site activation target – no filed date; p(met) approx 0.35", "confirmed":
false}], "immediate_entry": null, "unverified": [{"item": "Confirmed ORR,
PRRT-exposed/naive split and central-review status in the second, unreported
23 patients of Cohort 2", "instrument": "ESMO abstract text 2026-10-19 / oral
2026-10-23; embargoed until then", "drainable_now": false, "estimate":
{"range": "28-40% confirmed ORR", "basis": "anchor 43% in selected half, 39%
trade-press cohort-2, 35% AlphaMedix PRRT-exposed comp; adjusted down for
longest-follow-up selection", "p": 0.30}}, {"item": "Operating vs capex split
of the $34-38M/qtr cash use", "instrument": "XBRL / EDGAR pull of the cash-
flow statement in the 10-Q filed 2026-08-10 (0001193125-26-342512)",
"drainable_now": true, "estimate": {"range": "opex $28-31M, capex $4-7M per
quarter", "basis": "Chicago/LA/Coralville buildout comps vs company cash-use
bridge", "p": 0.6}}, {"item": "Whether the 6,598,046 pre-funded warrants were
still unexercised at the 8/5/26 cover date (red's possible 6.6M double-
count)", "instrument": "10-Q equity note / cover page share count, EDGAR",
"drainable_now": true, "estimate": {"range": "0-6.6M still outstanding",
"basis": "PFWs are typically exercised within weeks of pricing; ~60% likely
already inside the 114,151,663 count", "p": 0.6}}, {"item": "Short interest
and days-to-cover on a float ~48% underwater from $3.79", "instrument":
"FINRA semi-monthly short interest / IBKR short data", "drainable_now": true,
"estimate": {"range": "8-15% of float, 3-6 days to cover", "basis": "base
rate for -54% clinical-stage microcaps with a dated binary catalyst", "p":
0.6}}, {"item": "Options chain existence and chain-level midpoint IV on the
$2.50 and $3.00 Nov-2026 strikes", "instrument": "IBKR option chain pull –
chain-level midpoints only, never the aggregate underlying IV feed",
"drainable_now": true, "estimate": {"range": "front-month IV 90-130%, thin
quotes", "basis": "comparable clinical-binary microcap chains into a
conference date", "p": 0.5}}, {"item": "ADV and float turnover – required to
size our own print against liquidity", "instrument": "IBKR daily bars, 20-day
and 60-day average volume", "drainable_now": true, "estimate": {"range": "$8-
12M/day, 2.5-4M shares", "basis": "comparable ~$320M-cap clinical biotech
with 54.7% hedge-fund register", "p": 0.6}}, {"item": "Remaining shelf
capacity and ATM availability", "instrument": "S-3 on EDGAR plus 10-Q ATM
note", "drainable_now": true, "estimate": {"range": "$150-300M effective
capacity", "basis": "a $175M underwritten deal executed same-week in Feb-2026
implies live capacity", "p": 0.7}}, {"item": "Phase 3 site-activation status
against the year-end-2026 guide", "instrument": "clinicaltrials.gov record-
change monitor (NCT05636618) plus 8-K watcher", "drainable_now": false,
"estimate": {"range": "0-2 sites activated by 2026-12-31", "basis": "60-70%
slip base rate for first pivotal activation at sub-$500M-cap sponsors", "p":

```

```
0.35}}, {"item": "Whether the Lantheus exclusive option to license VMT-alpha-NET has formally lapsed or been terminated", "instrument": "Private contract – only visible via a 10-Q/10-K note update or an 8-K; walk-around: LNTH filings and calls", "drainable_now": false, "estimate": {"range": "lapsed-unexercised vs still live", "basis": "~2.7 years and three data updates (ASCO-GI, AACR, ASCO 2026) without conversion to a license", "p": 0.75}}, {"item": "Pb-212 / Th-228 feedstock supplier identity, contract term and allocation – the unknown-unknown with no sensor", "instrument": "Not filed anywhere; walk-around only – supplier trade press, DOE isotope program allocations, Orano Med disclosures, conference CMC posters", "drainable_now": false, "estimate": {"range": "1–2 qualified upstream sources worldwide", "basis": "Th-228/Ra-224 production is concentrated among a handful of national-lab and Orano-affiliated producers; competitor's own sponsor is one of them", "p": 0.6}}, {"item": "Q3 2026 print date confirmation", "instrument": "Company PR / 8-K Item 2.02 scheduling notice", "drainable_now": false, "estimate": {"range": "2026-11-09 +/- 5 business days", "basis": "prior-year Q3 print 2025-11-10; yfinance-derived date, unconfirmed by any filing in the pack", "p": 0.6}}}]}
```

Note on the omitted section: the inputs' SCIENCE BRIEF block is empty, so no SCIENCE BRIEF DIGEST is included rather than one being invented. For a deep-tech radiopharma name, the absence of a brief is itself an input gap and is flagged in the checked-claims table.

ADJUDICATION — 2026-09-16 15:37Z

Burn understated ~30% (\$34–38M/qtr); n=23 first-half selection on the 43% ORR; funded BTD identical-isotope competitor (all NOVEL). Human-gated biotech.

REOPEN GATES: ESMO abstract: confirmed ORR in the second 23 Cohort-2 patients with PRRT-exposed/naïve split → ≤1/3 (paper, principal gate); hard stop below the \$1.96 cash line